

However, because Grockit was using the wrong kinds of metrics, the startup was not genuinely improving. Farb was frustrated in his efforts to learn from customer feedback. In every cycle, the type of metrics his team was focused on would change: one month they would look at gross usage numbers, another month registration numbers, and so on. Those metrics would go up and down seemingly on their own. He couldn't draw clear cause-and-effect inferences. Prioritizing work correctly in such an environment is extremely challenging.

Farb could have asked his data analyst to investigate a particular question. For example, when we shipped feature X, did it affect customer behavior? But that would have required tremendous time and effort. When, exactly, did feature X ship? Which customers were exposed to it? Was anything else launched around that same time? Were there seasonal factors that might be skewing the data? Finding these answers would have required parsing reams and reams of data. The answer often would come weeks after the question had been asked. In the meantime, the team would have moved on to new priorities and new questions that needed urgent attention.

Compared to a lot of startups, the Grockit team had a huge advantage: they were tremendously disciplined. A disciplined team may apply the wrong methodology but can shift gears quickly once it discovers its error. Most important, a disciplined team can experiment with its own working style and draw meaningful conclusions.

Cohorts and Split-tests

Grockit changed the metrics they used to evaluate success in two ways. Instead of looking at gross metrics, Grockit switched to cohort-based metrics, and instead of looking for cause-and-effect relationships after the fact, Grockit would launch each new feature as a true split-test experiment.

A split-test experiment is one in which different versions of a